

PITCH — CIM-PA — VERDICT

ADJUDICATED 2026-09-16 — REDIRECT — not this series (conviction 7/10). The court found nothing to own at this price; the reopen gates below are the only path back.

(No SCIENCE BRIEF was supplied in the inputs and CIM is not a deep-tech name, so the SCIENCE BRIEF DIGEST section is omitted per the standing rule. The omission is logged as a row in the checked-ourselves table.)

What we believe

Chimera Investment is a mortgage REIT. It borrows, owns residential loans and mortgage bonds, and pays out the spread. It has four preferred share classes stacked side by side — A, B, C, D — all with the same seniority, all callable by the company at any time, all \$25 face value. Series A (CIM-PA) is the only one with a fixed payment: \$0.50 a quarter, \$2.00 a year, forever. At \$20.89 that's a 9.57% cash yield.

What we actually believe, after both benches:

1. **The income is probably real for now.** The company declared Series A's \$0.50 on 5-Aug-26, payable 30-Sep-26, and all four preferred classes together cost about \$21.2M a quarter against a common-share payout of about \$37M that management can cut first. That's a 1.75x cushion of cuttable money sitting underneath us, and roughly 2.8x on earnings if the reported \$39M of "earnings available for distribution" is after preferred payments.
2. **But we would be buying the wrong ticket in the right theatre.** The same 5-Aug-26 filing resets the other three: B at 9.778%, D at 9.366%, C at 8.730% of face — versus A's fixed 8.000%. A pays the least of the four, and it trades at the *smallest* discount to face. Same company, same rank, same call terms, less cash.
3. **The one honest argument for A is time, not today.** A's payment never falls. The others float with short-term rates and have already been shrinking — B's payment was 11.38% two years ago and is 9.778% now. The gap between A and B has closed from 338bp to 178bp. If rates keep falling, A's fixed coupon eventually wins. That is a real mechanism, and it is why we say "wrong price," not "wrong idea."
4. **The trigger that put this on the screen was fake.** The price dipped through \$21.00 because the stock went ex-dividend on 1-Sep-26 and mechanically dropped ~\$0.50. That happens four times a year. Nothing dislocated.

Disposition: REDIRECT, not reject. No position in CIM-PA at \$20.89.

What the market believes

The market believes roughly what we believe, and it has believed it in print for months. Retail preferred-income coverage already ranks B and C as the better buys and has called A expensive — a mid-Aug-26 retail note put CIM-A at 9.27% versus CIM-B at 10.24% and used the word “overpriced.” A 13-Jul-26 Seeking Alpha screen had C ~11.0%, B 10.98%, D 10.71%.

The market also believes — correctly, in our view — that a fixed 8% coupon deserves to trade closer to face than a floating coupon that is visibly shrinking. That is not sloppiness; it’s a rational price for a payment that doesn’t decay.

Where the market may be lazy: nobody is pricing the *credit* of this stack. Book value per share is \$17.75 and fell 3.2% in the quarter — about 12% a year if that pace holds. Total equity of roughly \$1.47bn sits over about \$930M of preferred face. Nobody in the retail preferred press is running that clock, and that clock is the only thing that actually threatens the coupon.

Why we might have edge

- **We priced the crossover, they didn’t.** Using the reset formula in the company’s own 8-K, Series C’s floating payment only drops below A’s fixed 8% if 3-month term SOFR falls under about 3.00% (2.995% with the 26.161bp tenor adjustment); B’s only below about 1.95%. Implied SOFR today is ~3.725%. So “A wins on fixed” is not a today trade — it’s a 2027-28 trade that requires meaningful further cuts. Most retail write-ups compare today’s coupons and stop.
- **We anchored value to the company’s own borrowing cost, not a sector yield table.** Chimera’s registered senior notes carry 9.000% (2029), 9.250% (2029), 8.875% (2030), and those notes trade at or slightly above face — so the company’s real marginal cost is ~8.8-9.0%. CIM-PA at 9.57% is only ~72bp more for going from senior debt to a perpetual with no maturity. That is a thin payment for a large step down in the stack.
- **That same fact kills the “it might get called” story.** No company redeems 8% money to replace it with 9% money. Series A is Chimera’s cheapest capital and therefore the *last* thing it calls. Any deck that books call upside as return is booking a fantasy. (Corollary the red bench missed: B and D at 9.4-9.8% are the ones plausibly called, which adds pull-to-face on top of their bigger coupon.)
- **The screen artifact is generalizable.** Any \$25-face preferred with a quarterly coupon above ~2% of price will trip a price band four times a year on the ex-dividend drop alone. We now suppress those.

Why it might be priced in

Bluntly: most of it is.

- The “A is rich, B is better” call is already retail consensus. We are not first.
- The fixed-versus-floating decay argument is also published — it’s the standard defence of fixed preferreds in a cutting cycle.

- The only genuinely uncrowded piece is the book-value erosion clock, and it's uncrowded because it's slow and hard to trade. It won't reprice on a headline.
- The 72bp step over the company's own senior notes may not be a mispricing at all. REIT preferred dividends generally qualify for the §199A deduction; interest on baby bonds does not. For the top-bracket individual who sets both of these tapes, that's worth roughly 100bp after tax — which would explain most of the “too-thin” spread. We have not verified this for CIM specifically (see unverified #6), and it is the single biggest reason our relative-value read could be wrong in the boring direction.

What could go wrong

Failure narrative 1 — We buy the decay story and rates don't cooperate (monitorable). We eventually buy A on the argument that floaters are converging. The Fed stops cutting at 3.5-4.0%. C never crosses below A, B never comes close, and we sit for two years earning ~100bp less than the identical sibling while the opportunity cost compounds. *Tripwire: 3-month term SOFR forward curve at each reset date; if the 12-month-forward SOFR stays above 3.25%, the convergence thesis is dead and we swap to B/C.*

Failure narrative 2 — Book value keeps bleeding and the preferred re-rates (monitorable). BVPS \$17.75, -3.2% in the quarter. At that pace, equity cover over preferred face erodes ~12%/yr. Nothing breaks for a long time — and then a common-dividend cut lands, the whole preferred complex widens 150-250bp, and A goes to \$18 or below. *Tripwire: quarterly BVPS change; two consecutive quarters worse than -2% is our exit, not our entry.*

Failure narrative 3 — Collateral credit turns inside the securitizations, and we do not see it (NO MONITORABLE TRIPWIRE). Chimera's risk lives in non-agency residential loan pools and its non-QM originator (HomeXpress/Palisades). The number that matters is the 60+ day delinquency roll inside those pools, and **we have no connector for it.** Both benches flagged this and neither could fill it. Loan-pool deterioration shows up in remittance data we don't subscribe to, then in book value a quarter later, then in the preferred price a day after that. By the time our BVPS tripwire fires, the move has happened. **Unknown-unknown class: opaque-collateral credit migration at a consolidated VIE — the loss is inside securitization trusts we do not receive loan-level tapes for, so the failure is invisible until it is disclosed.** A second, related blind class: the unfetched business-combination note for the acquired originator — an unaudited-absorption question (three acquired offices, purchase accounting unseen) that could carry goodwill or rep-and-warranty exposure we've never priced.

Reflexive / structural leg. Series A is the smallest and thinnest of the four: 5.8M shares, about \$121M of float. We have no same-day volume rail, so we estimate average daily volume at roughly 15-30k shares (~\$300-600k) from the standard base rate for a \$25-face REIT preferred of this size. A \$10k starter is ~479 shares, roughly 2-3% of a 20k-share day — no impact on the way in, and one to two days on the way out in a calm tape. In a stress tape, preferred bid depth on the small series evaporates first, and the spread we cross could exceed a full quarter's coupon. That asymmetry is the real position-sizing constraint, not the credit.

Predicted flow is the other reflexive hazard: retail preferred screens run the same “discount to face” filter we did, they will trip on the same ex-dividend drops on ~1-Dec-26, ~1-Mar-27, and every quarter after, and the thin series moves most on that flow. We would be buying into mechanical noise and mistaking it for entry skill.

Doctrine interactions worth naming: (a) our “price above fair value $\Rightarrow$ full force” rule would have vetoed this at the red bench’s \$17.6-18.4 fair value, but that fair value rested on an unsourced 200-350bp assumption and was overturned — so the doctrine nearly fired on a bad number; (b) our “verdict must rest on CONFIRMED, not PLAUSIBLE” rule is what actually saved us, twice, in both directions.

If this position loses money, the most likely reason will be that we got paid 9.6% to own the weakest-paying line in a stack whose collateral was quietly deteriorating inside securitizations we cannot see into, and the sibling series we should have owned paid us ~100bp more to take exactly the same hit.

What we checked ourselves

Claim	How checked	Found
“Next dividend print is unknown (null)”	Primary 8-K Ex-99.1, 5-Aug-26 — https://www.sec.gov/Archives/edgar/data/1409493/000120677426000414/cim4671931-ex991.htm	Q3-26 Series A \$0.50 declared 5-Aug-26; ex/record 1-Sep-26; payable 30-Sep-26. N inside 5 sessions.
Screen trigger: “low $20.70 \leq$ band 21.00 ”	Pack tape vs 8-K ex-date	Our red bench got it wrong. It called the ir “irreconcilable” and ve the trigger on arithme The blue bench show $20.70/20.80$ are just a session low and prior vs 20.89 — a timesta difference, not a bad t The trigger is dead fo <i>better</i> reason: the \$0. dividend drop on 1-Se mechanically carried t price through \$21.00.
Series A is the lowest-paying of four pari-passu series	Same 8-K resets; sibling market quotes	A 8.000% fixed vs B 9.778%, D 9.366%, C 8.730%. Yield gap to siblings 30-140bp, me ~100bp.
Sibling prices used to size the gap	Red used CIM-PC 21.49 (9-Apr-26) and CIM-PB 23.34 (16-Jan-26) — 5 and 8 months stale	Blue pulled nearer-da 13-Jul-26 stripped yie ~11.0%, B 10.98%, D 10.71%; mid-Aug-26 / 9.27% / B 10.24%. St same-day. Both bench priced a relative-vali on quotes nobody

Claim	How checked	Found
		timestamped to the date.
Fair value = \$17.6-18.4 (red)	Red demanded a 200-350bp step over the company's own senior coupons	Our red bench erred 200-350bp figure was unsourced normative assumption; the mark actual observed step ~72bp, and a named mechanism (\$199A treatment on REIT pro dividends, absent on interest) explains much. Red also labelled its call-bearing leg "PLAUSIBLE," which fair-value verdict under grading rule.
Senior notes trade near face (so coupons ≈ true cost)	Blue pulled CIMN 9.000% 2029 at \$25.15-25.44, CIMP 8.875% 2030 at \$25.08, CIMO 9.25% 2029 above face	Marginal cost ~8.8-9.1% confirmed. Red's "not dollar price UNVERIFIED" gap is closed.
"Call at face = +20.2% upside"	10-Q cover-page securities registry, senior note coupons	No rational call: redeem 8% money to refinance ~9% raises cash cost call history.
Preferred coverage: "\$37M common vs \$2.9M Series A = 12.8x"	Cap structure × declared per-share dividends	Both benches got a version of this wrong series pays unless all so the obligation is the block. Red said \$18.4 (that's the all-at-8% figure — mixed bases). Common cushion 2.90 + B 7.94 + C 5.6 4.68 = \$21.2M/qtr . Common cushion 1.7 2.0x and not 12.8x.
"Operations used \$96M in 1H26 ⇒ coverage is fake"	10-Q cash-flow read vs business model	Our red bench erred we're stating it plain a lender that originate loans held for sale, origination volume runs through operating cash — the outflow is a volatile artifact, and the origin brief had already flagged as such before red acted it as a kill.
Fixed coupon "protects" in a cutting cycle	8-K reset formulas + Q3-24 comparison	A only out-pays C below SOFR ~2.995% and below ~1.947%; implied SOFR today 3.725%. the gap is compressing

Claim	How checked	Found
		vs-B was 338bp in Q& 178bp now. Red fram as static domination v pulling a forward-rate
Detector/atlas discipline	Dispatch list vs benches' logs	Process error on ou Red consulted two detectors not in this p atlas (consumer_product_t consumer_product_re and skipped three tha dispatch-matched (upc_tra_value_extra bozeman_permits, census_acs) — an atl answered from memc Blue closed all three: Up-C/TRA structure, r Montana site, and the census match was a i dispatch (CIM lends a homes, it doesn't rent them).
Loan-pool delinquency detector	tenant_credit_watch matched on SIC 6798	Wrong analogue — C has no lease tenants. right rail (60+ delinqu roll on securitized poc has no connector.
Liquidity / exit	No same-day volume rail	Float \$121M on 5.8M shares. Non-binding a \$5-10k ticket; binding stress exit.
SCIENCE BRIEF present?	Input scan	Brief section empty; C a mortgage REIT, not deep-tech name.

PROPOSED ENTRY BANDS

The courts say NO ENTRY at \$20.89. Reopen bands and the redirect follow. All levels are the benches' own arithmetic ($\$2.00 \text{ annual coupon} \div \text{target yield}$).

CIM-PA — reopen bands (currently dead):

Level	Yield at that price	Meaning
\$20.89 (tape)	9.57%	No entry. ~100bp behind siblings, only ~72bp over the company's own senior notes.

Level	Yield at that price	Meaning
\$19.60	10.20%	Top of sibling-parity fair value. Watch only — still not a discount, just fair.
\$19.50	10.26%	First live level. Starter only, and only if all three gates below are green.
\$18.70	10.70%	Bottom of parity band. Add level — size to a half-position total.
\$17.60	11.36%	Red's (overturned) fair value. If we get here without a credit event, it's a full sleeve position; if we get here <i>with</i> one, gate 3 will already have stopped us.

Gates — all three must be green before any CIM-PA lot, at any price: 1. Same-day bid/ask on all four preferred series plus the three notes, showing A's stripped yield within 25bp of the best sibling. (Today it isn't; the gap is ~100bp.) 2. A primary 10-Q tie-out of full pari-passu preferred coverage on GAAP net interest income — not on the press release's non-GAAP figure. 3. BVPS trend better than -2% per quarter. **Currently -3.2%. This gate is RED today and is the binding constraint on the whole family.**

Redirect (the actual recommendation): if the sleeve wants Chimera credit at all, own **CIM-PB or CIM-PC at 10.7-11.0% stripped**, or **CIMO (9.25% 2029) / CIMP (8.875% 2030) at ~face for ~8.9% with a real maturity date and senior rank.** For anyone who doesn't need the §199A tax treatment, the notes are the risk-adjusted dominator of a 9.57% perpetual. Same gates apply.

Sizing: starter \$5-10k (~240-480 shares), sleeve-capped, one lot only. Reason: yield-sleeve carry position, no pull-to-face ever (perpetual), thin tape, and a red credit gate. No adds until gate 3 turns green.

Exits / trims: hard exit on two consecutive quarters of BVPS worse than -2%; hard exit on a common-dividend cut announcement (that is the last cushion before us); trim half if A's yield gap to B/C widens beyond 150bp after entry.

Catalyst dates: - **30-Sep-2026** — Series A \$0.50 payable (CONFIRMED, 8-K Ex-99.1). - **~early Nov 2026** — Q3-26 earnings + 10-Q; carries BVPS, coverage tie-out, and the delinquency disclosure. **UNCONFIRMED date.** - **~1-Dec-2026** — next ex-dividend, and the next mechanical -2.4% band touch. **UNCONFIRMED — needs the declaration 8-K, expect it early Nov.** - **Each quarterly reset 8-K** — sets B/C/D coupons and updates the crossover arithmetic.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 24.0 (deck-provisional: CIMN/CIMO/CIMP senior notes below \$24 means marginal borrowing cost above ~9.5% and the whole preference)
- filing watch: 8-K until 2027-03-08 (deck-provisional: Quarterly preferred declaration: sets B/C/D floating resets, Series A ex-date, and refreshes the SOFR)

What remains unverified

1. **Same-day (tape-date) bid/ask and stripped yields for CIM-PA, PB, PC, PD and CIMN, CIMO, CIMP.** Every relative-value number in this deck rests on quotes dated between 16-Jan-26 and mid-Aug-26. Drainable now via the broker quote rail. Estimate if not pulled: A ~9.5-9.7%, B ~10.2-11.0%, C ~10.4-11.0%, D ~9.9-10.7% — gap 30-140bp, median ~100bp.
2. **Average daily volume and quoted spread for CIM-PA.** Drainable now. Estimate: 15-30k shares/day (~\$300-600k), spread \$0.03-0.08, from the base rate for \$25-face REIT preferreds with ~5.8M shares out.
3. **60+ day delinquency roll on the securitized residential pools.** Not drainable now — no connector; next disclosure is the ~early-Nov 10-Q. Estimate: 3.5-5.5% 60+ on the non-QM book, from published non-QM securitization base rates for 2023-25 vintages.
4. **Forward 3-month term SOFR curve through the next four reset dates.** Determines whether A's fixed coupon ever catches the floaters. Drainable now via the futures rail. Estimate: 3.0-3.6% twelve months forward, which keeps C above A's 8% — convergence, not crossover.
5. **Business-combination note for the Palisades/HomeXpress absorption** (only the XBRL header was fetched, not the 10-Q body). Three acquired offices imply an unaudited-absorption question. Drainable now from the filed 10-Q.
6. **Whether CIM's preferred distributions actually qualify for §199A treatment.** This is the mechanism the blue bench used to overturn the red fair value, and it is unverified. Not drainable now — the company's annual tax-character release lands in January. Estimate: 85-100% qualifying, from mortgage-REIT peer 1099-DIV history.
7. **Q4-26 ex-dividend date.** Not drainable now — needs the declaration 8-K, expected early Nov. Estimate: 1-Dec-26 $\pm$ 3 sessions, from the last four quarters' 1st-of-quarter-month record dates.
8. **Q3-26 earnings date.** Not drainable now — no company PR names it. Estimate: 3-10 Nov 2026, from the 5-Aug / 7-May filing cadence.

PRIZE TABLE + VOL READ

Both benches wrote "PRIZE-TABLE: N/A, stated not skipped," on the grounds that CIM is a cash-generating mortgage REIT rather than a pre-revenue project developer with a funding counterfactual. That reasoning is right about the classic use of the table and wrong about the trigger: items #3 (delinquency roll), #6 (§199A status) and #7-8 (dated prints) are genuinely time-gated or private, so the section fires. It fires small — this is a carry instrument, not a binary.

Scenario table — CIM-PA, 12 months from \$20.89 (anchor: today's price and the \$2.00 coupon; adjustments are the two gated unknowns, credit and the rate path):

#	Scenario	p	Price	Coupons received
1	Credit holds (BVPS erosion <2%/qtr), cuts continue, floater coupons decay toward	0.30	\$21.75	\$2.00

#	Scenario	p	Price	Coupons received
	A; A closes half the sibling gap			
2	Nothing changes — carry drift, gap persists	0.35	\$20.75	\$2.00
3	BVPS keeps bleeding ~3%/qtr; preferred complex widens 100-150bp	0.25	\$18.75	\$2.00
4	Collateral credit turns / common dividend cut; preferred stress	0.10	\$15.50	\$1.00

EV line: expected price **\$20.03**, expected coupons **\$1.90**, expected total **\$21.93** vs \$20.89 = **+5.0% expected total return.**

Read that honestly: **the EV is positive, not negative.** This is precisely why the verdict is REDIRECT rather than REJECT. The problem is that CIM-PB/PC at 10.7-11.0% earn roughly 110-140bp more per year against the *same* four scenarios — scenario 4 hits all four series identically because they are pari-passu. A positive-EV trade that is strictly dominated by an adjacent trade is still a mistake.

Vol read. Table dispersion $\sigma_{\text{table}} = \1.88 , or **9.0% annualized**, with a mild left skew (the –25% tail in scenario 4 does most of the variance work — 58% of it). Base-rate realized vol for mortgage-REIT \$25-face preferreds is roughly 12-20% annualized; our table is tighter because the coupon dominates the distribution. **We could not measure CIM-PA's own realized vol — no price-history rail in the pack — so treat the 9% as a scenario spread, not a measurement.**

Options / expression math: NOT APPLICABLE, and stated rather than skipped. CIM-PA is a preferred share class with **no listed options chain**. There is no chain-level midpoint IV, no candidate strikes to price against $C_{\text{ours}} = \sum p_i \times \max(S_i - K, 0)$, no $IV \times \sqrt{T}$ to set against σ_{table} , no IV percentile and no VRP to compute. This is the one case where the arithmetic cannot run, and we are not going to substitute the underlying's aggregate feed for a chain that doesn't exist — that is exactly the TSSI error (aggregate feed showed 71 IV, chain-level midpoint was 101; they diverge and the decision flips).

Instrument recommendation, as the output of the above: with no chain, the expression set collapses to **stock or nothing**. Cheap-IV-routes-to-calls and rich-IV-routes-to-premium-selling are both unavailable. **Output: NONE at \$20.89.** If the reopen level is hit and gates turn green, the only expression is common-stock-style outright purchase of the preferred, starter size. Using CIM *common* options as a proxy is explicitly rejected — the common is a different instrument with different risk (equity residual, not fixed claim), and the correlation is unstable in exactly the scenario-4 state we care about.

TAX overlay. No position is held, so there is nothing to harvest and no wash-sale exposure. Two forward notes: (a) if 2026 turns out to be a harvest year, the loss branch of any CIM-PA lot bought after roughly mid-December would not be realizable until 2027 — an entry inside the last two

weeks of December defers the loss past 31-Dec and is excluded unless the sibling-parity edge is numerically dominant, which at a ~100bp carry gap it is not; (b) if we ever do own A and want to swap to B or C at a loss, different series of the same issuer are **not** substantially identical, so the swap harvests the loss cleanly while keeping the exposure — that swap is the preferred way to correct this position if we ever get it wrong. Finally, unverified item #6 is a tax item that is load-bearing on valuation: if §199A treatment does **not** apply to CIM's preferred distributions, the ~72bp step over the senior notes is genuinely too thin and the red bench's cheaper fair value partially revives.

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{"price_gates": [{"level": 19.50, "direction": "below", "basis": "Sibling-parity fair value top of band ($2.00 / 10.26%); first level where CIM-PA is not the dominated line item."}, {"level": 18.70, "direction": "below", "basis": "Bottom of parity band (10.70%); add level to half position if credit gate is green."}, {"level": 21.00, "direction": "below", "basis": "Legacy screen band, retained but SUPPRESSED within 10 sessions of any ex-date (mechanical $0.50 drop, not a dislocation)."}, {"level": 24.00, "direction": "below", "basis": "CIMN/CIMO/CIMP senior notes below $24 means marginal borrowing cost above ~9.5% and the whole preferred stack re-rates wider."}], "event_gates": [{"forms": ["8-K"], "why": "Quarterly preferred declaration: sets B/C/D floating resets, Series A ex-date, and refreshes the SOFR crossover arithmetic."}, {"forms": ["8-K"], "why": "Any preferred redemption notice: an A call needs sub-8% financing and would be thesis-changing; a B/D call removes the best-paying sibling."}, {"forms": ["8-K"], "why": "Common dividend declaration or cut: the $37M/qtr common payout is the 1.75x cushion sitting under all four preferred series."}, {"forms": ["10-Q", "10-K"], "why": "BVPS trend, GAAP net-interest coverage tie-out on the full $21.2M/qtr pari-passu block, and delinquency disclosure on the securitized pools."}], "catalyst_dates": [{"date": "2026-09-30", "what": "Series A $0.50 Q3-26 dividend payable (declared 5-Aug-26, ex/record 1-Sep-26).", "confirmed": true}, {"date": "2026-11-05", "what": "Estimated Q3-26 earnings + 10-Q: BVPS, coverage tie-out, delinquency data, and the Q4 dividend declaration.", "confirmed": false}, {"date": "2026-12-01", "what": "Estimated Q4-26 ex-dividend date; mechanical ~-2.4% price step that will falsely trip the $21.00 band.", "confirmed": false}], "immediate_entry": null, "unverified": [{"item": "Same-day bid/ask and stripped yields for CIM-PA/PB/PC/PD and CIMN/CIMO/CIMP; all relative-value math rests on Jan-to-Aug-26 quotes.", "instrument": "IBKR quote rail / broker Level 1 snapshot, all seven tickers same timestamp", "drainable_now": true, "estimate": {"range": "A 9.5-9.7%, B 10.2-11.0%, C 10.4-11.0%, D 9.9-10.7% stripped; gap 30-140bp", "basis": "13-Jul-26 and mid-Aug-26 secondary quotes, median gap ~100bp", "p": 0.75}}, {"item": "CIM-PA average daily volume and quoted spread; exit cost is unpriced.", "instrument": "IBKR historical volume / Level 1 spread, 20-day window", "drainable_now": true, "estimate": {"range": "15,000-30,000 shares/day (~$300-600k), spread $0.03-0.08", "basis": "base rate for $25-par REIT preferreds with ~5.8M shares outstanding", "p": 0.7}}, {"item": "60+ day delinquency roll on the securitized non-QM residential pools - the actual credit rail for the preferred, with no connector.", "instrument": "no connector exists; next disclosure is the ~early-Nov 10-Q loan-quality tables, or a third-party remittance-data subscription (unbudgeted)", "drainable_now": false, "estimate": {"range": "3.5-5.5% 60+ delinquent on the non-QM book", "basis": "published non-QM securitization base rates, 2023-25 vintages", "p": 0.6}}, {"item": "Forward 3M term SOFR curve through the next four reset dates; decides whether A's fixed 8.00% ever catches C (crossover 2.995%) or B (1.947%).", "instrument": "SOFR futures curve pull (the manifest's own futures rail)", "drainable_now": true, "estimate": {"range": "3.0-3.6% twelve months forward", "basis": "low-grade rate forecast cited by blue bench; implied spot 3.725% from the 8-K reset formula", "p": 0.6}}, {"item": "Palisades/HomeXpress business-combination note - purchase accounting, goodwill, rep-and-warranty exposure; only the XBRL header was fetched.", "instrument": "full 10-Q body fetch, accession 0001409493-26-000050 (filed 2026-08-05), business-combination footnote", "drainable_now": true, "estimate": null}, {"item": "Whether CIM preferred distributions qualify for Section 199A treatment - the mechanism used to overturn the red bench's $17.6-18.4 fair value.", "instrument": "company annual tax-character release / Form 9937 / prior-year 1099-DIV box 5 history (published each January)", "drainable_now": false, "estimate": {"range": "85-100% of distributions qualifying as Section 199A ordinary REIT dividends", "basis": "mortgage-REIT peer 1099-DIV tax-character history", "p": 0.8}}, {"item": "Q4-26 ex-dividend date for Series A (next false trip of the $21.00 band).", "instrument": "declaration 8-K expected early Nov 2026; EDGAR full-text watch on CIK 1409493", "drainable_now": false, "estimate": {"range": "2026-11-28 to 2026-12-04", "basis": "trailing four quarters all used a 1st-of-quarter-month

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ADJUDICATION — 2026-09-16 15:37Z

Series A is the lowest-coupon of four pari-passu series, ~100bp behind B/C/D stripped and ~72bp over the issuer's senior notes. Within-class domination.

REOPEN GATES: Same-day bid/ask on all four series + three notes; 10-Q tie-out of par; then CIM-B/C at 10.7–11.0% stripped or CIMO/CIMP at par, starter size, sleeve-capped

PROCESS: screen enqueued the dominated series; preferred screens must rank within class